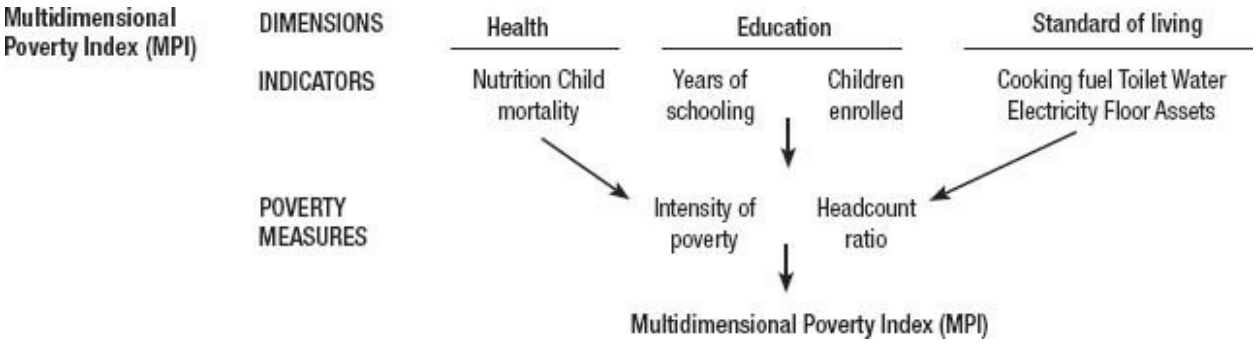


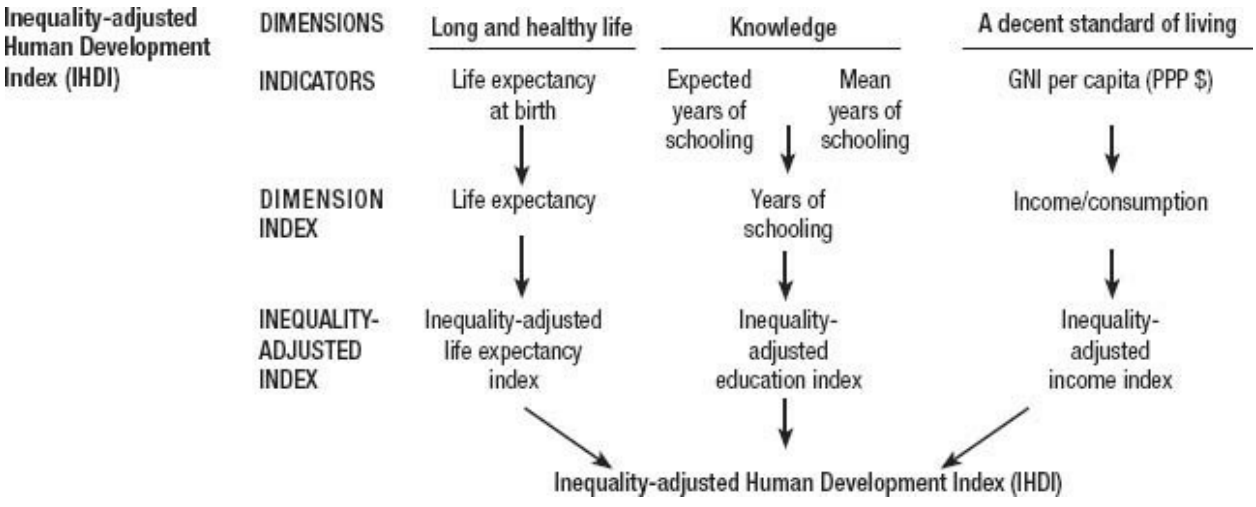
Source: UNDP

Inequality-Adjusted HDI (IHDI)

Inequality adjusted HDI adjusts the HDI for inequality in distribution of the dimensions - life expectancy, years of schooling and household income or consumption - that exists across the age (life expectancy) and individual (schooling and income/ consumption). Adjusted means the inequality in each dimension is discounted from the average level of achievement in each dimension.

If HDI and IHDI are equal, it means there is no inequality. If IHDI is less than HDI, it means there is inequality.

A graphical representation of IHDI:



Source: UNDP